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People Corporation: Rebuilding Trust

Relaunching SpringBoard

Manny Atwal, Chief Operating Officer, sits at the heart of People Corporation's sales transformation, a steadfast advocate for SpringBoard – their in-house platform that can revolutionize benefit administration for their customers. For Manny, SpringBoard is more than technology; it's the key to unlocking seven-figure benefits for the company and vastly improving how clients administer their benefit plans. In an industry where reputation defines success, Manny faces the challenge of rebuilding trust in this new technology with the internal sales team and third-party advisors who still view SpringBoard through the lens of its early flaws.

The goal is clear – build awareness of the benefits SpringBoard provides and rally the organization around it. But a question remains: how can Manny lead People Corporation to transform SpringBoard from a misunderstood tool into a trusted asset?

About People Corporation

People Corporation, founded in 2007, is a Canadian firm specializing in group benefits, group retirement,

and human resource services. Headquartered in Winnipeg, Manitoba, the company has expanded its presence across Canada, operating over 60 offices nationwide, with over 2,500 employees. People Corporation sells its own benefits products, as well as distributing benefits products from other insurers.

Throughout its history, People Corporation has strategically leveraged mergers and acquisitions to enhance its service capabilities and expand its geographic reach, solidifying its position as a leading insurance and benefit provider in the Canadian market. Notable acquisitions include the Apri Group of Companies in 2019, which enhanced its consulting and third-party administration services.[1] In 2020, People Corporation acquired Benefits by Design, broadening its service offerings.[2] In December 2020, People Corporation was acquired by Goldman Sachs. With People Corporation's strong reputation in the industry and significant access to capital as part of Goldman Sachs, acquisitions will remain a key part of their strategy moving forward.

With a market share under 10%, growth is a central focus for People Corporation. The primary levers for growth are:

- **Organic Growth** – providing current clients with additional products and services and winning new clients with current service offerings.
- **Inorganic Growth** – growing through acquisitions in the Benefits and Administration sector and adjacent domains to meet client and market needs, or to enhance the service offering
- **Leverage Technology** – using technology to improve client experience, target clients with specific products and services that meet their needs and further enhance the service offering.

This strategy has proven to be highly successful. People Corporation has seen significant financial growth. In fiscal year 2020, the company reported revenues of $210.8 million – a 29.8% increase from $162.5 million in 2019, which included 9.2% organic growth. This growth has continued each year at a significant pace, with revenues in 2024 exceeding $500 million.

[1] https://www.peoplecorporation.com/en-ca/all-articles-newsroom/people-corporation-announces-acquisition-of-the-apri-group-of-companies

[2] https://www.peoplecorporation.com/en-ca/all-articles-newsroom/people-corporation-significantly-expands-its-national-advisor-network-and-broadens-its-client-and-advisor-solution-offering-through

Group Benefits in Canada

The group benefits industry in Canada is substantial, with total revenues from employee benefit group life and health plans estimated at $59.7 billion in 2023, a 9.4% increase from 2022.[3]

The industry is dominated by a few major insurers, with the top ten companies accounting for 96.5% of the market. The top 3 by market share - Canada Life, Sun Life, and Manulife Financial make up 62.8% of the market. Among clients, large Enterprises (over 1000 employees) account for 68% of the market, while small to medium enterprises (50-999 employees) make up 22%.

Canadian employees increasingly expect comprehensive and personalized benefits packages that address their unique needs. A 2022 survey by Sun Life revealed that only 17% of survey respondents "strongly agreed" their workplace plan addressed those needs.[4]

Approximately 85% of Canadian employers offer health and dental benefits to their employees. Around 90% of employees with benefits have extended health care coverage that includes prescription drugs, vision care, and paramedical services.[5] Some attributes of plans that are becoming more prevalent are flexible benefit plans and wellness programs, highlighting the client and member need for customization when choosing a benefits provider.

Connecting with Clients

People Corporation uses a multifaceted sales channel strategy to deliver group benefits, group retirement, and human resource solutions across Canada. The company operates through a combination

[3] https://frasergroup.com/wp-content/uploads/2024/07/GUR-Public-Release-Canada-2023.pdf
[4] https://www.benefitscanada.com/archives_/benefits-canada-archive/2023-group-benefits-providers-report-prioritizing-partnerships-personalization-and-prevention/
[5] https://benefluent.ca/blog/employee-benefits-industry

of direct sales and partnerships with third party advisors, each of which manages similarly sized clients and contributes approximately 50% of People Corporation's overall business.

> *"You're not selling a widget; you're selling your experience and reputation."*
>
> *Manny Atwal, COO*

Trust is a big component of the agent-client relationship. Both the direct sales team and Third-Party Advisors form long-term relationships based on trust with their clients, backed by their own reputations.

Direct Sales

The company maintains a national presence with over 60 offices and satellite locations across Canada, enabling their over 200 in-house consultants to engage directly with clients. This extensive network allows People corporation to provide tailored solutions that address the specific needs of the diverse organizations they support.

The direct sales team faces a unique challenge when it comes to selling People Corporation's own products, due to the perception of bias. Unlike third-party advisors who are seen as impartial, internal salespeople must navigate skepticism from clients who may view their recommendations as self-serving. This bias adds pressure on direct sales to justify a product's value and prove its effectiveness, as any issues will directly impact their credibility. This risk of diminished trust discourages them from prioritizing internal solutions, further complicating adoption efforts.

For People Corporation's direct sales team, the client is the customer. This direct relationship means consultants must establish trust and deliver exceptional service to ensure client satisfaction and retention. Every interaction directly impacts People Corporation's reputation and the long-term success of the relationship.

Third-Party Advisors

People Corporation collaborates with a network of independent advisors to extend its reach. Advisors can access the company's suite of products and services, offering customized solutions to their clients while benefiting from People Corporation's product catalog, expertise, and support. These are independent advisors that each have their own practice and client base. They recommend products and services from People Corporation and other group benefits companies to find the best fit for their clients.

People Corporation enhances its offering to these third-party advisors through what it calls its Managing General Agent Plus (MGA+) model – integrating technology and back-office support (via email, an advisor portal, and direct broker support services), providing their third-party advisors with a competitive advantage.[6]

In the third-party sales channel, People Corporation's customer is the broker rather than the end client. Brokers act as intermediaries, leveraging People Corporation's products for their clients while expecting top-tier support and service. Maintaining broker trust is critical, as their reputation depends on the performance of the solutions they recommend to their customers – the client.

SpringBoard

SpringBoard was created in response to client requests for more insight into and control over the benefits on their plans, and to make benefit administration easier. It acts as a central hub for onboarding and plan management and provides People Corporation with key metrics like benefits utilization and customer account metrics.

The key features include:

1. **Client and Member portals:** A gateway for clients (companies) and members (their employees) to access and manage benefits.

[6] https://www.peoplecorporation.com/en-ca/mga

2. **Data Insights:** Provides detailed metrics on usage, service levels, and customer interactions – which helps People Corporation adjust to client needs
3. **Enhanced Client Experience:** Once clients are onboarded, retention rates are very high (95-97%).

Originally created over 5 years ago, SpringBoard's first release encountered several technical, process, and people issues. SpringBoard was made mandatory for all new clients, even when it may not have been the best fit for every client. Onboarding clients to the platform was inefficient, resulting in a large workload for both advisors and clients to get started. Additionally, there were several bugs to be resolved after the initial launch – something common with software releases.

The internal technical team for SpringBoard has been working diligently to improve onboarding and fix the bugs in the software. However, because of 2-3 years of bad experiences, there is still a negative perception of SpringBoard amongst the internal and third-party sales teams, making them reluctant to offer it as a solution to clients.

While there is a product team that manages development around the technology behind SpringBoard, as well as a support team for 3rd party advisors, it lacks a dedicated internal support team. Unlike its competitors, People Corporation relies on sales managers for this support, leading to inconsistent guidance for direct sales consultants. This lack of centralized expertise creates barriers to resolving issues efficiently and diminishes confidence in the platform among direct sales.

Onboarding New Clients

Onboarding is a significant process for both People Corporation and their clients. As the first interaction with People Corporation, it sets the tone for the client's relationship with the company and is critical to establishing the initial trust required for them to commit to a long-term contract. The onboarding process at People Corporation faces significant challenges due to process and technology complexity.

To provide a quote for a highly customized benefits solution, the agent must analyze offerings from multiple benefit carriers. This includes applying a client's specific requirements (including demographic data about members) to investigate insured and uninsured benefits. The level of precision a client expects from a quote differs between clients; striking the right balance of speed and precision can be the difference between making a sale and losing a customer. Any delays to this process frustrate both the internal sales teams and third-party advisors, which detracts from internal trust and reduces closing rates.

After securing a client, onboarding includes re-collection of demographic data on the client's members, leading to inefficiencies at best and error-prone data entry at worst. Disparate systems and unstructured methods of collecting this information create further delays when setting up a new client's plan.

While People Corporation sells through multiple channels, they also sell to many different types of clients. For example:

Micro Clients

These are clients with fewer than 20 employees, that are often looking for a salesperson that understands their business and what it means to be operating as a small company. These customers typically expect a faster turnaround when it comes to service issues

Small to Medium Enterprises (SMEs)

These are clients with 5-100 employees with more diverse needs when it comes to benefit plans. Still looking for tailored solutions, these clients expect their salespeople to use their expertise to build a solution that works for their workforce.

Large Organizations

These clients typically have 100+ employees, often exceeding 1,000. They have established internal HR and benefits teams that understand the benefits landscape and are looking for a salesperson that can partner with them to enhance their own internal expertise.

Indigenous Communities

Indigenous communities represent a unique client segment for People Corporation, with distinct needs and expectations. These communities often prioritize long-term relationships and grassroots support over transactional interactions. Benefit plans must account for cultural values, collective needs, and funding structures, requiring tailored solutions and a highly empathetic service approach.

For Graeme Horner, SVP Partner Relations – Benefit Solutions, one critical area for improvement is offering client-centric service models – *"A small company with an owner-operator expects their benefit plan to be easy to use, with a mom-and-pop support experience. With a large company, you're selling to a panel or broader team that will have different criteria and rules to make decisions – they expect a call centre environment, and those are completely different service models."*

The onboarding journey for new clients is central to People Corporation's operations and reputation, as inefficiencies and unclear expectations in this early-stage impact client retention and sales team effectiveness.

> *"The irony is it's not even about the technology, it's about the experience you're giving the client when you're delivering the technology"*
>
> *Graeme Horner, SVP Partner Relations – Benefit Solutions*

Efforts to Improve Adoption

People Corporation has seen success by isolating the micro client segment and building solutions that meet their specific needs. When the service team is educated on the needs of the client, they're better able to support the client with a tailored benefits solution. This has been true for SpringBoard, which has seen success with the micro client segment.

People Corporation also acquired Benefits by Design (BBD) in April 2021, which offers similar technology to Springboard. Benefits by Design has a more robust internal support model but also has its own limitations: it is built on aging technology, provides limited options for products from different benefits carriers, and is well suited for small clients with less than 50 employees. Its success is borne out of an emphasis on high service levels and simplicity, underscoring the importance of a robust support system and targeted customer base. In contrast, SpringBoard was built to support customers of any size, with the largest having over 5000 employees.

The Ask

The full value in SpringBoard will only be realized if adoption increases. With a clear goal in mind, Manny was left with many questions:

- How does People Corporation get clients onto SpringBoard?
- How can People Corporation provide faster quotes through the platform?
- What can be done to speed up onboarding?

Moreover, Manny recognized that the most significant question remained unanswered**. Principally, how can People Corporation rebuild SpringBoard's reputation and regain trust with their direct sales team and third-party agents?**

Please consult the competition rules provided to your team. You may (and should) conduct outside research and use other sources of information beyond those provided in the case. <u>However, teams are strictly prohibited from contacting or speaking with People Corporation's staff, partners, or customers directly.</u>